Q. Will India's growth be slower than expected? How will it impact jobs and incomes?

● ADITI NAYAR
We have cut our growth forecast to 7.2 per cent from 8 per cent. A gradual improvement in capacity utilisation levels may lead to a potential modest delay in the awaited broad-basing of capacity expansion by the private sector, which is somewhat negative for jobs and incomes. However, we expect the contact-intensive services to revive, which will make related jobs reappear.

Simultaneously, this could entail a reduction in the availability of agricultural labour, affecting acreage in some states, which was the key driver of agri output during FY21 and FY22. This may constrain agricultural GVA growth below 3 per cent in FY23.

● NEELKANTH MISHRA
The rise in energy prices is a headwind to growth, especially since India imports 36 per cent of its energy needs and nearly half of its dense-energy needs. As India runs a current account deficit, it is weaker compared to other energy importers in adjusting to a reset in prices. To close the balance of payments deficit, the best course of action in the near term may be to let the rupee depreciate and curtail imports. This will have an impact on overall price levels and, as energy consumption drops, it will also slow the economy, hurting job creation and income growth. That said, we believe growth can still be meaningfully above current consensus forecasts.

● PRONAB SEN
That depends on what one expects. There is general consensus among economists that the potential growth rate has dropped from around 7.5 per cent to 6 per cent. The actual growth may be lower still. This will lead to a slow growth of employment, even taking into account that agriculture has recorded an increase in employment, reversing a 30-year trend.

● AJIT RANADE
The RBI and other agencies have revised the estimate of growth rate for FY23 downward. It could be around 7 per cent, meaning slower growth in job creation and incomes. In March, the unemployment rate actually fell, but not because more people found jobs. Actually, there has been a fall in the aggregate workforce to 428 million as per a CMIE [Centre for Monitoring Indian Exonomy] report. This means the labour force participation rate is at 39.5 per cent, the lowest in a long time. The worrying trend is that people are choosing to leave the workforce. Job creation remains our greatest challenge.

> **"The RBI has revised the estimate of growth rate for FY23 downward. It could be around 7%, which means slower growth in job creation..."**
> – AJIT RANADE

Q. Economic activity is back in full swing, yet industrial production and private investment are sluggish. Do you see this trend continuing?

● ADITI NAYAR
Elevated inflation and a pivot to services consumption away from goods is expected to constrain the growth in the demand for goods in FY23. Even though exports of some items from India will rise to meet global demand amid the supply crunch, we expect a very gradual improvement in capacity utilisation levels to approximately 74-75 per cent in Q3 FY23 from approximately 72.4 per cent in Q3 FY22.

● JAHANGIR AZIZ
We don't think the recovery is back in full swing. Apart from IP and investment, consumption is way below its pre-pandemic path too. Even in nominal terms, it is about Rs 7-8 lakh crore lower despite the surge in prices. The same goes for private sector non-farm credit. For India, it will be very hard to recover the loss from the pandemic. For example, even if FY22 growth is 8.5 per cent, the level of GDP will be about 7 per cent lower than the pre-pandemic path. If we take the government's trend growth rate of 7 per cent, India will need to grow at an astounding 14 per cent to cover this loss in FY23, which